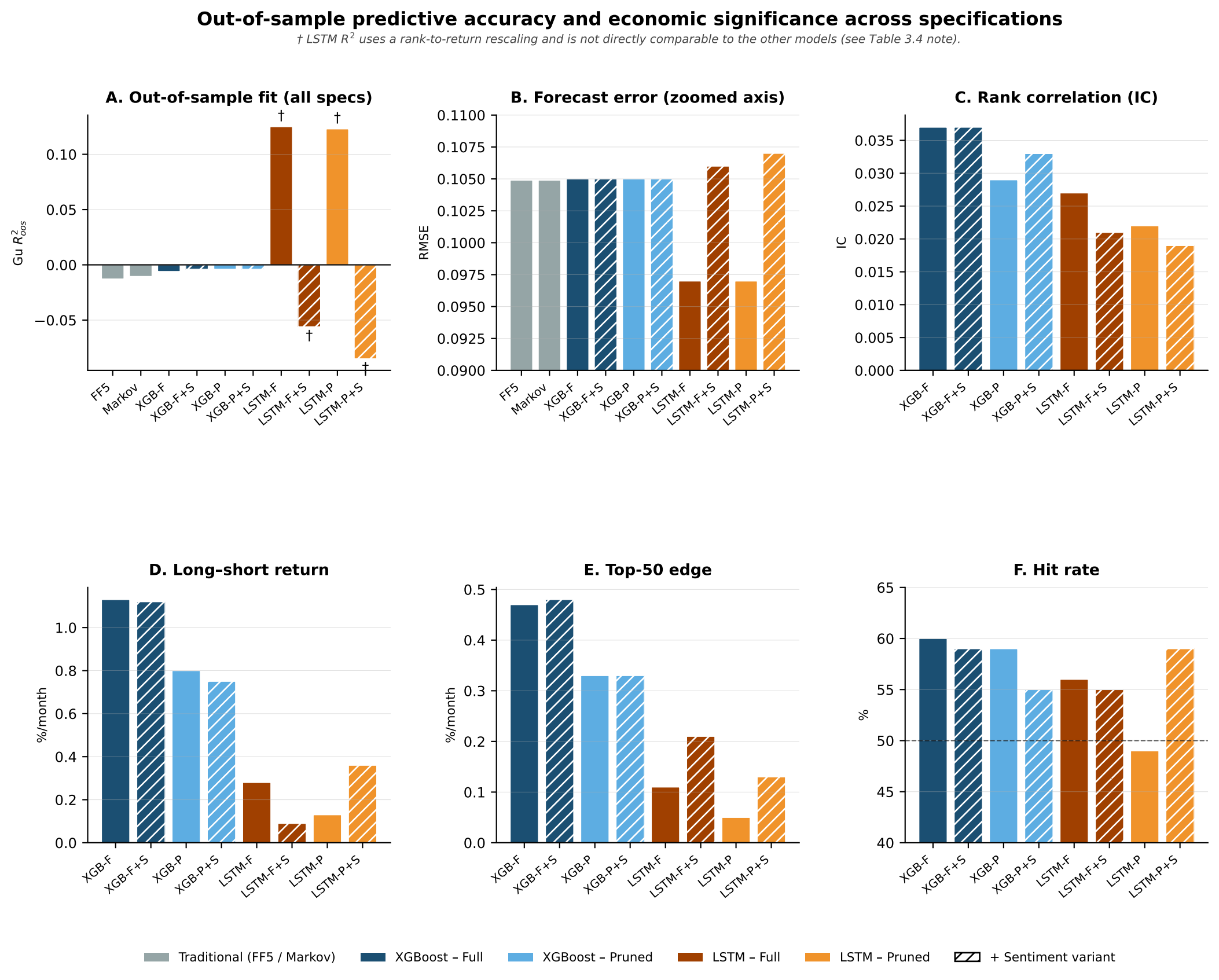
Out-of-sample predictive accuracy and economic significance across specifications
† LSTM R^2 uses a rank-to-return rescaling and is not directly comparable to the other models (see Table 3.4 note).
A. Out-of-sample fit (all specs)
Gu R^2_{oos}
B. Forecast error (zoomed axis)
RMSE
C. Rank correlation (IC)
IC
D. Long–short return
%/month
E. Top-50 edge
%/month
F. Hit rate
%
FF5
Markov
XGB-F
XGB-F+S
XGB-P
XGB-P+S
LSTM-F
LSTM-F+S
LSTM-P
LSTM-P+S
Traditional (FF5 / Markov)
XGBoost – Full
XGBoost – Pruned
LSTM – Full
LSTM – Pruned
+ Sentiment variant